

Class 17

Cities, Housing, and Path Dependence

Part III — Mobilizing People and Expanding Opportunity

The American Economy — draft course materials (proposal under discussion)

The point of today's class

Cities create opportunity by concentrating workers, firms, ideas, and markets — but housing supply, zoning, segregation, and path dependence determine who can actually access that opportunity.

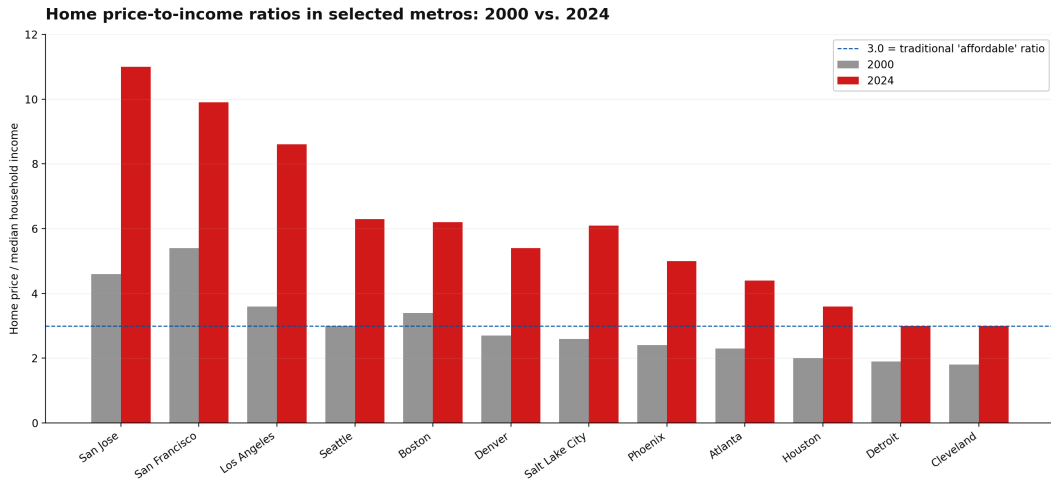
Why it matters

- ▶ Two nearly identical houses — same size, same builder — can differ in price by hundreds of thousands of dollars. What exactly are people buying?
- ▶ Place is not just geography: it is a bundle of labor markets, schools, housing rules, transportation, neighbors, public goods, and history.
- ▶ Housing prices are the price of *access* — to jobs, schools, safety, networks, and children's futures.
- ▶ **Opportunity has an address.**

Today

1. The affordability puzzle
2. Why cities exist
3. History sticks: path dependence and durable cities
4. Highways and suburbanization
5. Segregation: place as an opportunity filter
6. Zoning, housing supply, and spatial misallocation
7. Housing is a Utah issue

Home price-to-income ratios in expensive cities

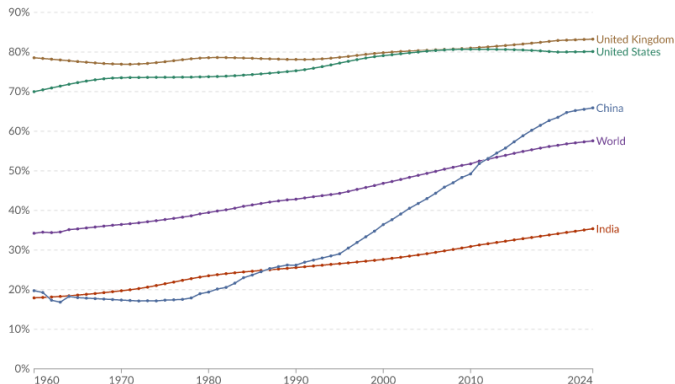


Source: Joint Center for Housing Studies, Harvard University. National median reached 5× income in 2024.

From farms to cities: U.S. urbanization, 1790–present

Share of the population living in urban areas, 1960 to 2024

Our World
in Data



Data source: World Urbanization Prospects - UN Population Division, via World Bank (2026)

OurWorldinData.org/urbanization | CC BY

Note: Because the estimates of city and metropolitan areas are based on national definitions of what constitutes a city or metropolitan area, cross-country comparisons should be made with caution.

Source: U.S. Census Bureau, Historical Statistics.

Why cities exist

- ▶ Cities are not accidents — they are machines for matching, learning, producing, and consuming.

Urban advantage	Economic mechanism
More workers	Better matching (thick labor markets)
More firms	Specialization
More customers and suppliers	Larger markets, lower input costs
More ideas	Knowledge spillovers
More infrastructure	Scale economies
More institutions	Universities, hospitals, courts, finance

- ▶ Economic growth is also spatial transformation: farms → towns → cities → suburbs → (sometimes) remote work.

History sticks: path dependence and durable cities

- ▶ Bleakley and Lin: many North American cities formed at *portage* sites — obstacles to river navigation where goods were carried overland — and persisted long after that advantage vanished.
- ▶ The mechanism: initial advantage → trade → population → infrastructure → firms → schools → networks → more population.
- ▶ Examples: Boston (port, education, finance); Chicago (rail, grain, the Great Lakes); Pittsburgh (rivers, coal, steel); Salt Lake City (migration, religion, regional hub, universities, state capital).
- ▶ Hornbeck and Keniston, the Great Boston Fire of 1872: land values rose on burned *and* nearby unburned plots — durable old buildings and coordination problems had been blocking redevelopment.
- ▶ Cities persist — and cities can get stuck. The built environment is durable: a strength and a constraint.

Highways and suburbanization (Baum-Snow)

- ▶ From 1950 to 1990, central-city population *fell* 17% while metropolitan population *grew* 72%.
- ▶ Baum-Snow: limited-access highways drove much of that suburbanization — infrastructure reshapes where people live, where firms locate, and what land is worth.

Suburbanization gave	Suburbanization cost
More housing, homeownership	Sprawl, longer commutes
Family space, local schools	Fiscal sorting, exclusionary zoning
Car mobility, wealth building	Segregation; barriers for renters

- ▶ Suburbs are an institution bundle: mortgages, highways, zoning, school districts, local taxation, local government.

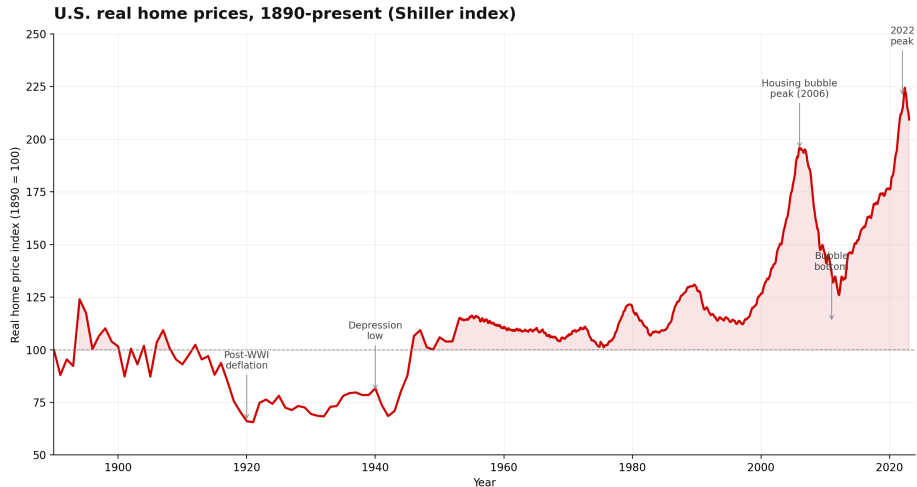
Segregation: place as an opportunity filter

- ▶ Shertzer and Walsh (the bridge from Class 16): residential segregation grew sharply in early twentieth-century cities as Black migrants arrived.
- ▶ Housing markets are not neutral sorting machines: law, violence, discrimination, credit, zoning, and local politics shape who can live where.

Channel	Economic consequence
Schools	Human capital
Home values	Wealth accumulation
Job access and commutes	Employment and wages
Peer networks	Information and opportunity
Local taxes	Public goods

- ▶ Place is a delivery system for opportunity.

U.S. real home prices, 1890–present (Shiller)



Source: Robert J. Shiller, *Irrational Exuberance* (3rd ed.), online data archive, Fig. 3.1.

Source: Robert Shiller, online data archive, *Irrational Exuberance*.

Zoning: an American institution

- ▶ For most of U.S. history, affordability was supported by land abundance, construction, suburban expansion, and migration.
- ▶ Gyourko, Saiz, and Summers (Wharton index, 2,000+ jurisdictions): regulatory restrictiveness varies enormously across America.

Zoning can protect	Zoning can restrict
Safety, environmental quality	Housing supply and density
Neighborhood stability	Mobility and affordability
Infrastructure capacity	Entry by outsiders
Property values	Labor-market access and opportunity

- ▶ Not “property rights vs. planning” — zoning *is* a set of property rules. The economic question is whether the rules internalize real costs or exclude newcomers.

When housing blocks migration, the whole country pays

- ▶ Harvard JCHS: the national median home price reached **5 times** median household income in 2024 — vs. about 3.2 in the 1990s.
- ▶ If productive cities pay higher wages, why don't more workers move there? Because housing costs can eat the gains.
- ▶ Ganong and Shoag: rising housing prices in high-income areas deter migration — especially by lower-skill workers — slowing regional income convergence.
- ▶ Hsieh and Moretti: restrictive housing supply in high-productivity cities (New York, the Bay Area) causes **spatial misallocation** of labor across U.S. cities.
- ▶ Key line: when workers cannot move to productive places, the whole country becomes poorer.

Housing is a Utah issue

- ▶ Kem C. Gardner Policy Institute: Utah was the **ninth-most expensive** housing market in the country in 2024.
- ▶ Statewide median single-family sales price: \$547,700 in Q4 2024; forecast near \$558,000 for 2025.
- ▶ The Utah bundle: rapid population growth, family formation, migration, land-use rules, water constraints, transportation, starter homes, density near transit, local control vs. state reform.
- ▶ Housing is family policy — and it is decided locally, which is exactly why it is an American-institutions question.
- ▶ Next class: does place actually deliver upward mobility? (Preview: the Opportunity Atlas.)

Discussion

A fast-growing city has high wages, expensive homes, good schools, congested roads, water constraints, and strong neighborhood opposition to apartments. Homeowners, renters, young families, employers, and builders all want different things. Which of their concerns are real externalities — and which are attempts to exclude newcomers?

Read before next class

- ▶ Bleakley and Lin, “Portage and Path Dependence” (skim) — why cities persist after their advantages fade.
- ▶ Hsieh and Moretti, “Housing Constraints and Spatial Misallocation” (introduction) — the national cost of local rules.
- ▶ Gardner Policy Institute, *State of the State’s Housing Market* (browse) — the Utah case.